

PRODUCT TEARDOWN



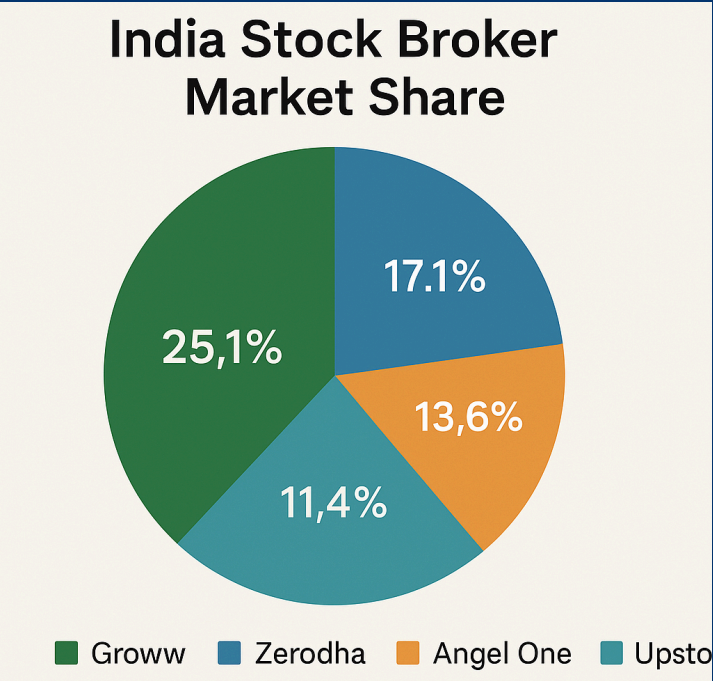
–MANAS SINGH

About the company

Zerodha is a leading Indian financial services company founded in 2010 by Nithin Kamath. It revolutionized stock trading in India by introducing a discount brokerage model, offering zero brokerage for equity investments and a flat fee for intraday and F&O trades. Zerodha operates entirely online through its trading platform, Kite, and supports advanced charting, APIs, and investment tools. With a focus on technology and transparency, it has grown rapidly, becoming India's largest retail stockbroker by active clients. The company also runs educational initiatives like Varsity and Rainmatter, a fintech incubator supporting startups in the financial and investing space.

Competition

- Groww: A fast-growing investment platform, originally focused on mutual funds, now dominating stock broking with a user-friendly app and aggressive marketing. Largest by active clients (25.1%).
- Angel One: A tech-savvy full-service broker turned discount broker, offering smart tools, advisory services, and algo-trading features. Strong in tier-2 and tier-3 cities.
- Upstox: Backed by major investors like Ratan Tata, it combines low-cost trading with intuitive UX, catering to new-age and mobile-first investors.



Market Landscape

As of FY2023-24, Zerodha reported a revenue of ₹8,320 crore and a profit of ₹4,700 crore, reflecting a 21% and 62% year-on-year growth, respectively . This performance underscores its position as one of India's most profitable fintech companies, with an operating margin of approximately 57%.[YourStory+3Business News Today+3The Financial Express+3](#)

In terms of market presence, Zerodha added 1.52 million new accounts in 2024, contributing to the National Stock Exchange's (NSE) 44% year-on-year growth in active investors, which reached 50.1 million by December 2024 . However, its market share has seen a decline, with competitors like Groww surpassing Zerodha in client count, capturing a 25.1% market share compared to Zerodha's 17.1% . [Business News TodayThe New Indian Express](#)

Looking ahead, Zerodha anticipates a 10% revenue dip due to SEBI's new fee circular and a potential 30-50% drop in revenue stemming from proposed regulations on index derivatives . To mitigate these challenges, the company is diversifying its offerings, including margin trade funding, investments, and loan-against-securities services.[Business Finance News](#)

Business Model

Core Revenue Streams

- 1. Brokerage Fees (Intraday & F&O Trading)
 - Flat ₹20 per executed order, regardless of trade size, for intraday and futures & options (F&O) trading.
 - This is the primary revenue driver due to high trading volumes.
- 2. Demat & Account Maintenance
 - Annual Maintenance Charge (AMC) of ₹300 per demat account.
 - Nominal account opening and other operational fees.
- 3. Call & Trade Services
 - Charges ₹50 per order when clients place trades via phone, instead of using the Kite platform.

Value-Added & Emerging Services

- 4. Margin Trade Funding (MTF)
 - Recently introduced to generate interest income from margin-based investments.
- 5. Loan Against Securities (LAS)
 - Clients can borrow against their holdings, and Zerodha earns interest on these loans.
- 6. Mutual Funds Distribution (via Coin)
 - While direct mutual funds are commission-free, Zerodha monetizes through services like Coin Premium (portfolio tracking, reporting).

Future & Diversification Initiatives

- 7. Rainmatter Fintech Incubator
 - Invests in startups aligned with Zerodha’s ecosystem (e.g., smallcase, Ditto). Gains come through equity and strategic partnerships.
- 8. Educational Content & Tools (Varsity, Sensibull, Streak)
 - Mostly free, but some tools offer premium versions or partner monetization.

Target User

Active Traders

- Intraday and derivatives (F&O) traders who value low, flat-fee brokerage and fast execution.

Tech-Savvy Investors

- Users comfortable with online platforms and tools like charts, APIs, algo-trading, and analytics.

Cost-Conscious Retail Investors

- Long-term investors looking to invest in stocks or mutual funds without high brokerage costs.

DIY (Do-It-Yourself) Investors

- Individuals who prefer managing their own portfolios using Zerodha's educational tools (Varsity) and platforms (Kite, Coin).

Financial Enthusiasts & Professionals

- Financial advisors, educators, and analysts who leverage Zerodha's APIs and platforms for data, research, or client servicing.

User thoughts in India about this app.

Name	Demographics	Thoughts	Usage
Ravi Patel	32, Urban, Middle-Class, Male	"I love saving money and trying new food spots. If the app is reliable and hygienic, I'd definitely use it."	Uses Zerodha for stock trading and portfolio management.
Nishi Singh	26, Urban, Upper-Middle-Class, Female	"I appreciate the transparency and low brokerage fees. However, I'd love to see more educational resources."	Invests in stocks and mutual funds via Zerodha for long-term goals.
Rashi Singh	29, Urban, High-Income, Female	"I like the seamless integration with the Kite platform. However, sometimes customer support is a bit slow."	Invests in stocks, commodities, and options via Zerodha.
N.K Sengar	40, Rural, Lower-Middle-Class, Male	"I like the seamless integration with the Kite platform. However, sometimes customer support is a bit slow."	Invests in stocks, commodities, and options via Zerodha.

User Journey

1. Discovery Phase

- Trigger: A user hears about Zerodha through an advertisement, social media, or word of mouth.
- Action: The user starts researching Zerodha, checking out reviews, features, and offerings (e.g., low brokerage fees, user-friendly interface).
- Feeling: Curious but cautious about online trading.

2. Onboarding Phase

- Trigger: The user decides to sign up on Zerodha and open a trading account.
- Action:
 - User visits the Zerodha website or downloads the Zerodha app.
 - Fills in the KYC details and provides necessary documents for verification.
- Feeling: Excited, but also anxious about navigating the trading world.

3. Learning and Exploration

- Trigger: User successfully opens their account and logs into Zerodha's Kite platform.
- Action:
 - The user starts exploring the app, viewing the dashboard, market trends, stock lists, and news.
 - They may watch tutorial videos or visit Zerodha's educational resources (Varsity, webinars).
 - They might start with virtual trading or paper trading to understand the market.
- Feeling: Overwhelmed with information but curious to explore further.

4. Initial Trading

- Trigger: The user feels confident enough to make their first trade.
- Action:
 - The user buys or sells a small number of stocks, typically starting with familiar companies or recommendations from peers.
 - They track the trade's performance and analyze market data on the app.
- Feeling: Nervous but thrilled to take the first step into active trading.

5. Active Trading and Strategy Development

- Trigger: The user begins to engage more deeply with the market, experimenting with different strategies.
- Action:
 - The user starts trading more frequently, possibly using technical analysis, market news, and data to make informed decisions.
 - They explore features like advanced charting, margin trading, and investing in mutual funds or ETFs.
 - They may also start using the Zerodha Streak tool for algorithmic trading or Zerodha Coin for mutual funds.
- Feeling: More confident and involved in managing their investments.

6. Long-Term Investment and Portfolio Building

- Trigger: The user decides to focus more on long-term wealth creation, rather than short-term trading.
- Action:
 - The user begins diversifying their portfolio with different stocks, bonds, and mutual funds.
 - The user periodically reviews and rebalances their portfolio based on market trends and personal goals.
- Feeling: Content with their investment strategy and comfortable with the platform.

7. Ongoing Use and Mastery

- Trigger: The user continues to use Zerodha regularly for trading and investment management.
- Action:
 - The user actively manages their portfolio, adjusting strategies as needed based on market changes.
- Feeling: Confident in their trading skills, satisfied with Zerodha's service, and actively participating in the market.

Zerodha Ecosystem

Kite (Trading Platform)

- Web and mobile app for trading stocks, commodities & derivatives.
- Real-time data, advanced charting, and order placement.

Pi (Desktop Trading Software)

- Low-latency desktop platform for active traders.
- Advanced charting and direct market access.

Zerodha Varsity (Educational Platform)

- Free educational resources covering basics to advanced trading concepts.
- Courses on technical analysis, options trading, and more.

Zerodha Coin (Mutual Fund Investment Platform)

- Invest directly in mutual funds with no distributor commissions.
- SIP (Systematic Investment Plan) feature and fund comparisons.

Zerodha Streak (Algorithmic Trading)

- Build, backtest, and deploy trading strategies without coding.
- Automates trading based on user-defined conditions.

Zerodha Console (Backoffice and Analytics)

- Detailed analytics for trade performance and portfolio tracking.
- Provides tax reports, P&L insights, and compliance documents.

Zerodha Sentinel (Alerting and Monitoring)

- Set price alerts and receive notifications for stocks or indices.
- Customizable alerts based on price, volume, or technical indicators.

Kite Connect API (Trading API for Developers)

- Enables developers to build custom trading apps and bots.
- Real-time data, order placement, and historical data access.

Key Learnings

Low-Cost Trading

- Zerodha’s zero-brokerage model (for equity delivery) and low brokerage fees for other trades make investing more affordable, allowing traders to save on commissions and reinvest those savings into their portfolios.

User-Friendly Platforms

- Zerodha’s platforms like Kite and Pi offer intuitive, easy-to-use interfaces, even for beginner traders. The seamless experience across web and mobile makes it easy to access and manage trades.

Educational Focus

- With resources like Zerodha Varsity, the company emphasizes financial education, helping users understand trading strategies, technical analysis, and investment principles. This empowers traders to make informed decisions.

Innovation and Automation

- Tools like Zerodha Streak and the Kite Connect API highlight the importance of innovation. Traders can create algorithmic strategies and automate their trading, making it possible to trade efficiently without constant manual intervention.

Comprehensive Backoffice and Analytics

- Zerodha provides detailed performance analytics through Console, allowing traders to track portfolio performance, generate tax reports, and analyze risk. This helps investors make data-driven decisions and monitor their progress effectively.

Recommendation

1. Enhanced Customer Support

- Recommendation: While Zerodha offers efficient services, customer support can be slow at times. Investing in a more responsive and accessible customer support system, including live chat, dedicated account managers, and quicker resolution times, could improve user satisfaction and loyalty.
- Rationale: Competitors like Upstox and Groww offer fast customer service, which is becoming an important differentiator for users.

2. Robo-Advisory for Beginners

- Recommendation: Introduce a robo-advisory feature to assist new investors with portfolio building based on their risk profile and financial goals. This could include automated rebalancing and personalized investment advice.
- Rationale: Platforms like Groww and Upstox are increasingly offering such features, helping beginners get started without needing to do extensive research.

3. Investment in Global Markets

- Recommendation: Expanding the ability for users to invest in international stocks and ETFs directly from Zerodha’s platform, similar to what competitors like Groww and Interactive Brokers are offering.
- Rationale: Investors are looking to diversify globally, and Zerodha can capitalize on this demand by enabling investments in U.S., European, and emerging market stocks.

4. Mobile App Enhancement with AI/ML Tools

- Recommendation: Enhance the mobile app experience by integrating more AI/ML-based tools for personalized trading insights, risk management, and stock recommendations.
- Rationale: Competitors like Upstox and Angel One are investing heavily in AI tools, which help users make better-informed decisions and trade more efficiently.

5. Advanced Research and Insights Platform

- Recommendation: Develop a comprehensive research and insights platform offering in-depth analysis, expert opinions, and market predictions to assist traders with decision-making.
- Rationale: Platforms like Angel One and Groww offer more in-depth research and recommendations, and Zerodha could build this into its ecosystem to cater to both novice and experienced traders looking for better insights.

Metrics

1. User Growth & Retention

- Monthly Active Users (MAU) / Daily Active Users (DAU)
Tracks platform usage and engagement levels.
- New Account Openings
Measures growth in user base.
- User Retention Rate
Tracks how many users remain active after 30, 60, or 90 days.
- Churn Rate
Percentage of users who stop trading or close accounts.

2. Trading & Investment Activity

- Daily Trading Volume
Total value and number of trades executed on the platform.
- Average Revenue Per User (ARPU)
Revenue generated per trader/investor.
- Product-wise Split
Volume across equity, derivatives, commodities, mutual funds, etc

3. Revenue & Financial Performance

- Brokerage Revenue
Revenue from trades (intraday, F&O, etc.).
- Asset Under Management (AUM) (via Zerodha Coin)
Total investment value managed through mutual funds.

4. Platform Performance

- App Load Time & Uptime
Tracks responsiveness and reliability of Kite, Console, etc.
- Order Execution Speed
Time it takes to process and execute a trade.
- Bug/Error Reports
Number and frequency of technical issues.

5. Compliance & Risk Monitoring

- Regulatory Compliance Rate
Adherence to SEBI norms and other financial regulations.
- KYC Completion Rate
Percentage of users who complete full KYC verification.
- Fraud Detection & Prevention Metrics
Suspicious account activity, flagged transactions.

6. Education & Engagement

- Varsity Engagement
Views, course completions, or session duration on Zerodha Varsity.

7. Customer Experience

- Support Response Time
Measures how quickly support tickets are resolved.
- User Ratings & Reviews
App Store and Play Store ratings, review sentiments.

THANK YOU

–MANAS SINGH